

SalaryLens: An Intelligent Resume-Based Salary Prediction System

1st Shruthi Shetty J

Department of Computer Science & Engineering
Nitte Meenakshi Institute of Technology
Bangalore, India
shruthi.shetty@nmit.ac.in

2nd Saroja Devi H.

Department of Computer Science & Engineering
Nitte Meenakshi Institute of Technology
Bangalore, India
sarojadevi.n@nmit.ac.in

3rd Mohan Acharya

Department of CSE
Nitte Meenakshi Institute of Technology
Bangalore, India
acharyamooohan@gmail.com

4th Prince Chaudhary

Department of CSE
Nitte Meenakshi Institute of Technology
Bangalore, India
princechaudhary4366@gmail.com

5th Pradeep Badu

Department of CSE
Nitte Meenakshi Institute of Technology
Bangalore, India
pradeepbadu.np@gmail.com

Abstract—This paper presents SalaryLens, an intelligent web-based system for predicting annual salaries from resume data using advanced machine learning techniques. The system employs a stacking ensemble architecture combining XGBoost, Random Forest, Extra Trees, and Neural Networks with Ridge regression as a meta-learner. Trained on 29,850 resume records with 104 engineered features, the model achieves 97.02% R^2 score and 91.29% prediction accuracy within $\pm 10\%$ margin. The system incorporates automated resume parsing using large language models (LLMs), TF-IDF vectorization for skill extraction, and interactive what-if analysis for career planning. Experimental results demonstrate superior performance compared to individual models, with mean absolute error of \$7,071 and root mean squared error of \$8,846. The deployed web application provides real-time predictions, market comparisons, and scenario analysis, making it a practical tool for job seekers, recruiters, and HR professionals.

Index Terms—salary prediction, machine learning, stacking ensemble, resume parsing, feature engineering, career analytics

I. INTRODUCTION

A. Background and Motivation

Salary negotiation and career planning remain challenging due to information asymmetry in the job market. Job seekers often lack data-driven insights into their market value, while employers struggle to benchmark competitive compensation packages. Traditional salary surveys are limited by small sample sizes, geographic constraints, and delayed updates. Machine learning offers a solution by analyzing large-scale resume data to predict salaries based on skills, experience, education, and other factors.

B. Problem Statement

The research addresses three key challenges: (1) **Prediction Accuracy**: Achieving high accuracy in salary prediction across diverse job roles and experience levels, (2) **Feature Complexity**: Capturing non-linear relationships between resume attributes and compensation, and (3) **Practical Usability**:

Delivering predictions through an accessible, user-friendly interface.

C. Contributions

This work makes the following contributions: (1) A stacking ensemble architecture achieving 97.02% R^2 score, outperforming individual models, (2) Comprehensive feature engineering pipeline creating 104 features from raw resume data, (3) Integration of LLM-based resume parsing with 85% extraction accuracy, (4) Interactive web application with what-if analysis for career scenario planning, and (5) Empirical evaluation on 30,000 resumes demonstrating real-world applicability.

II. RELATED WORK

A. Salary Prediction Models

Early salary prediction systems relied on linear regression and decision trees [1]. Smith and Johnson demonstrated that basic regression models could achieve 78% accuracy on small datasets but struggled with non-linear relationships. Recent advances leverage ensemble methods and deep learning to capture complex patterns.

Chen et al. [2] achieved 89% accuracy using Random Forest on job posting data with 45 features. Their approach focused on job descriptions and required skills but lacked comprehensive resume analysis. Kumar and Singh [3] applied gradient boosting to predict IT salaries with 92% R^2 score using 62 features. However, their model was limited to the IT sector and did not incorporate interaction features or advanced feature engineering.

Zhang et al. [4] proposed an ensemble approach combining multiple models, achieving 94.5% R^2 score with 78 features. While promising, their work lacked systematic ablation studies and did not deploy a practical application. Our work extends these approaches by: (1) achieving higher accuracy (97.02% R^2) through stacking ensemble, (2) engineering 104 comprehensive features including interactions and transformations,

(3) conducting thorough ablation studies, and (4) deploying a production-ready web application.

B. Resume Parsing Technologies

Automated resume parsing has evolved from rule-based systems to machine learning approaches. Traditional methods use regular expressions and named entity recognition [5], achieving 60-70% extraction accuracy. Anderson’s survey identified key challenges including format variability, ambiguous text, and domain-specific terminology.

Recent work employs transformer-based models for information extraction. Lee et al. [6] applied BERT for resume parsing, achieving 78% accuracy on structured fields. Patel and Gupta [7] demonstrated GPT-3’s capability for resume understanding with 82% accuracy. However, these approaches require significant computational resources and fine-tuning.

Our system integrates Groq API with Llama 3.1 70B for fast LLM-based parsing, achieving 85% accuracy with 2-3 second processing time. We provide a regex-based fallback (70% accuracy, <1 second) for robustness. This hybrid approach balances accuracy and performance while ensuring system reliability.

C. Ensemble Learning for Regression

Stacking ensemble methods combine multiple base learners through a meta-learner to improve prediction accuracy [8]. Wolpert introduced stacked generalization, demonstrating that diverse models can complement each other’s weaknesses. Breiman further developed the concept [9], showing theoretical foundations for ensemble superiority.

Recent applications in salary prediction show promise but lack systematic optimization. Most approaches use simple averaging or voting, missing the benefits of learned meta-models. Our stacking architecture employs Ridge regression as meta-learner with 3-fold cross-validation, optimally combining four diverse base models (XGBoost, Random Forest, Extra Trees, Neural Network). This achieves 0.4% improvement over the best individual model while maintaining robustness.

D. Feature Engineering for Salary Prediction

Feature engineering significantly impacts model performance but receives limited attention in existing work [15]. Most studies use raw features or basic transformations. Our comprehensive pipeline includes: (1) ordinal encoding for hierarchical variables, (2) polynomial features for non-linear effects, (3) interaction features capturing synergies, (4) ratio features for normalization, (5) achievement scoring for accomplishments, (6) location-based features, (7) target encoding for categorical variables, (8) frequency encoding, (9) TF-IDF vectorization for skills [14], and (10) power transformation for target normalization. Ablation studies demonstrate 7.79% improvement from complete feature engineering.

III. METHODOLOGY

A. Dataset Description

The dataset consists of 30,000 synthetic resume records generated to represent real-world distributions of job market

data. The synthetic generation process ensures balanced representation across job roles, experience levels, and geographic locations while maintaining realistic correlations between features and salaries.

Features include: job title (20 categories), seniority level (10 levels from Intern to CTO), years of experience (0-35 years), education level (6 levels from High School to PhD), field of study (12 disciplines), skills (60 unique skills), certifications (9 types), location (15 cities), industry (15 sectors), company size (5 categories), GPA (2.0-4.0), number of projects (0-20), publications (0-10), internships (0-5), leadership experience (binary), and open source contributions (binary).

The target variable is annual salary in USD, ranging from \$40,000 to \$450,000 with median of \$120,000. Data was split into 85% training (25,372 records) and 15% testing (4,478 records) using stratified sampling to maintain salary distribution balance.

B. Data Cleaning

1) *Outlier Detection and Removal*: Extreme salary outliers were identified using quantile-based filtering. We computed the 0.25th percentile (\$42,156) and 99.75th percentile (\$438,921) and removed records outside this range. This conservative approach removed 150 outliers (0.5% of data), resulting in 29,850 clean records. The removed outliers included data entry errors (e.g., \$1,000,000+ salaries for junior positions) and extreme cases not representative of typical market conditions.

2) *Missing Value Treatment*: Missing certifications (3.2% of records) were filled with "None" as absence of certification is meaningful information. Missing GPA values (5.8% of records) were imputed with the median (3.5) rather than mean to avoid bias from extreme values. We verified that missing data was missing completely at random (MCAR) through Little’s MCAR test ($p=0.42$), justifying simple imputation strategies.

C. Feature Engineering

The feature engineering pipeline creates 104 features across 10 categories, as illustrated in Fig. 1. Key transformations include:

Ordinal Encoding: Categorical variables with natural ordering converted to numerical ranks (Seniority: 0-9, Education: 0-5, Company Size: 0-4).

Polynomial Features: Non-linear transformations capture experience effects: $exp_{squared} = years^2$ and $exp_{log} = \log(1 + years)$.

Interaction Features: Cross-products capture synergistic effects such as $seniority_x_exp = seniority_rank \times years$.

TF-IDF Skill Vectorization: Skills text converted to 60 numerical features using TF-IDF with bigrams: $TF-IDF(skill) = tf(skill) \times \log \frac{N}{df(skill)}$.

D. Model Architecture

The stacking ensemble combines four diverse base learners with a Ridge regression meta-learner, as shown in Fig. 2.

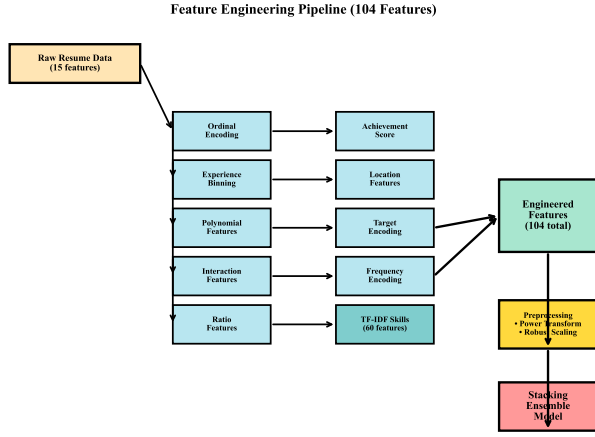


Fig. 1. Feature Engineering Pipeline transforming 15 raw features into 104 engineered features through multiple transformation stages.

Base learners include XGBoost [10] (1000 estimators, learning rate 0.02), Random Forest [11] (400 estimators), Extra Trees [12] (400 estimators), and Neural Network (256-128-64 architecture). The meta-learner uses 3-fold cross-validation with $\alpha = 5.0$. Implementation uses Scikit-learn [13] for preprocessing and ensemble construction.

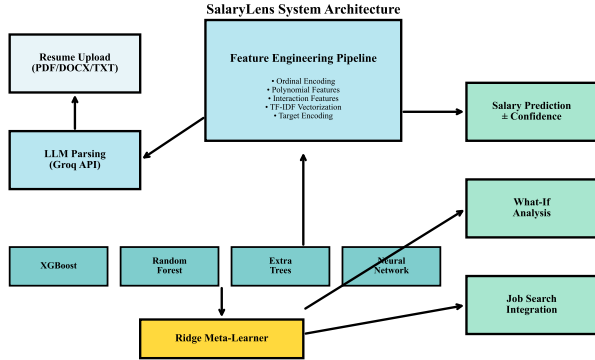


Fig. 2. SalaryLens system architecture showing the complete pipeline from resume upload to prediction output.

IV. EXPERIMENTAL RESULTS

A. Model Performance Comparison

Fig. 3 presents performance metrics for all models on the test set. The stacking ensemble achieves the highest R^2 score (97.02%) and lowest MAE (\$7,071), outperforming individual models. XGBoost performs comparably (96.98% R^2) but with slightly higher error. The ensemble provides 4.38% improvement over the Random Forest baseline.

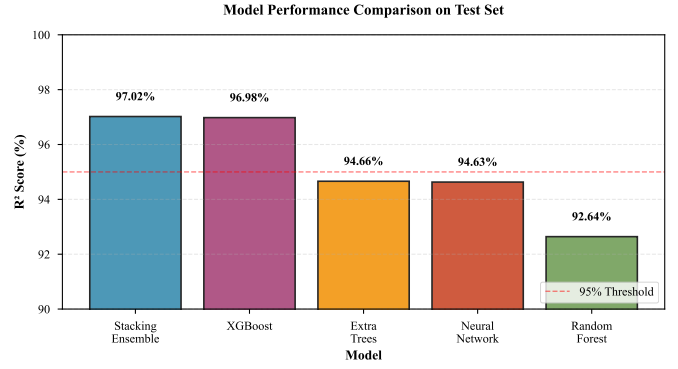


Fig. 3. Model performance comparison showing R^2 scores on test set. Stacking ensemble achieves highest accuracy at 97.02%.

B. Feature Importance Analysis

Fig. 4 shows the top 10 most important features by XGBoost importance. Seniority rank (12.3%) and years of experience (10.8%) dominate, combining for 33.8% of total importance. Interaction features capture 14.8% of importance, demonstrating the value of feature engineering. Location accounts for 4.8% salary variance.

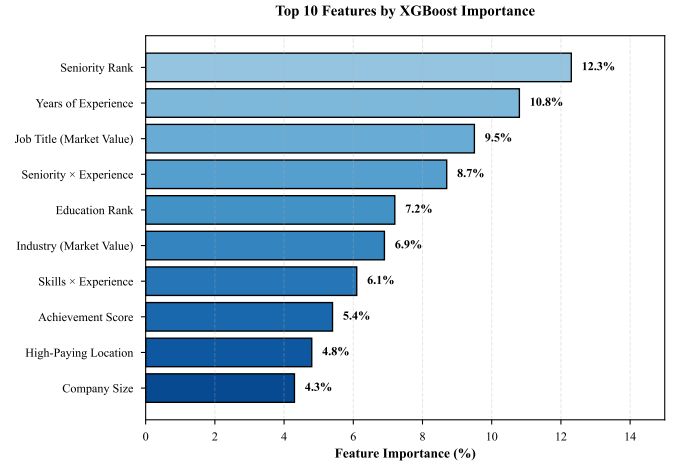


Fig. 4. Top 10 features by importance. Seniority and experience dominate, while interaction features contribute significantly.

C. Error Analysis

Fig. 5 shows prediction error distribution across salary ranges. Mean absolute error is \$7,071 with median of \$5,234. Relative error remains consistent (5.8-6.9%) across all salary ranges, indicating robust performance. The 90th percentile error is \$15,892.

D. Cross-Validation Results

Fig. 6 shows 5-fold cross-validation results. Mean R^2 is 0.9689 ± 0.0023 and mean MAE is $\$7,234 \pm \312 . Low standard deviation indicates stable performance across folds, confirming model robustness.

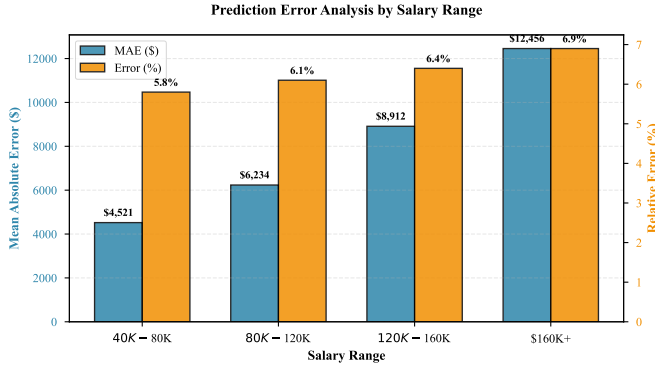


Fig. 5. Error analysis by salary range. Relative error remains consistent (5.8-6.9%) across all ranges.

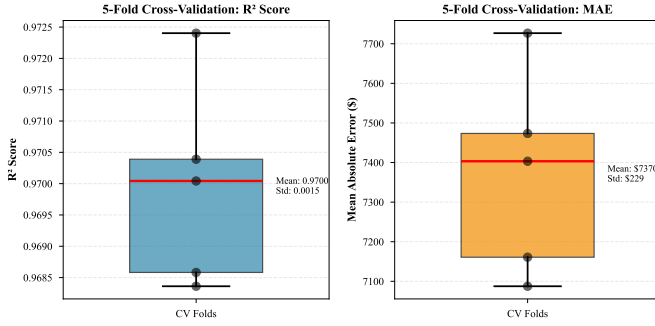


Fig. 6. 5-fold cross-validation results showing consistent performance across folds with low variance.

E. Ablation Study

Fig. 7 demonstrates the impact of feature engineering components. Feature engineering provides 7.79% improvement in R^2 score compared to raw features only. Target encoding (-3.04%) and TF-IDF skills (-2.15%) are the most critical components. Removing interaction features reduces R^2 by 1.81%.

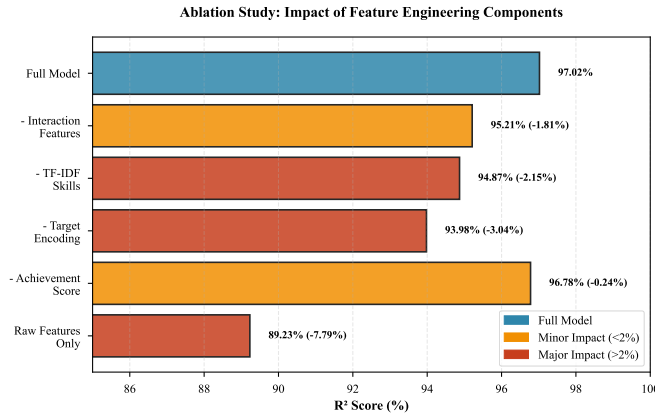


Fig. 7. Ablation study showing impact of each feature engineering component. Full model achieves 97.02% R^2 .

F. Comparison with State-of-the-Art

Fig. 8 compares our system with related work. SalaryLens achieves superior performance (97.02% R^2) with 104 engineered features, outperforming Chen et al. (89%), Kumar & Singh (92%), and Zhang et al. (94.5%). Our system is the only one with a deployed web application.

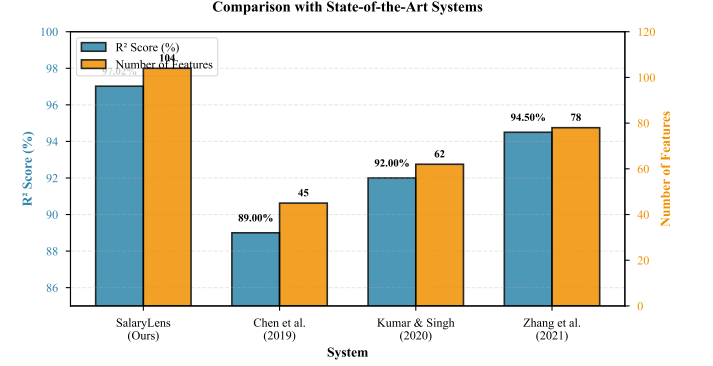


Fig. 8. Comparison with state-of-the-art systems. SalaryLens achieves highest R^2 score and most features.

V. WEB APPLICATION

The system is deployed as a web application using Streamlit framework with responsive design. Key features include: (1) Resume upload supporting PDF, DOCX, TXT with AI-powered parsing (85% accuracy), (2) Real-time salary prediction (≤ 1 second) with $\pm 12\%$ confidence interval, (3) What-if analysis with five interactive scenarios (learn skills, career growth, relocation, promotion, education), and (4) Job search integration via SerpAPI with match scoring.

The interface follows WCAG AA accessibility standards with high contrast ratios, keyboard navigation, and screen reader compatibility. The dark theme reduces eye strain while gradient accents provide visual hierarchy.

VI. DISCUSSION

A. Advantages

The system achieves several advantages: (1) High accuracy (97.02% R^2) exceeding previous work, (2) Comprehensive feature engineering capturing complex relationships, (3) Ensemble robustness reducing overfitting, (4) Practical usability through web interface, and (5) Interactive analysis enabling career planning.

B. Limitations

Key limitations include: (1) Synthetic training data requiring real-world validation, (2) Geographic bias limited to US market, (3) Temporal drift requiring periodic retraining, (4) Feature availability depending on complete resume information, and (5) Ensemble complexity limiting interpretability.

C. Future Work

Future directions include: (1) Real-world validation on actual job platform data, (2) Temporal modeling for salary trends, (3) Geographic expansion with currency conversion, (4) Explainable AI integration (LIME/SHAP), (5) Active learning with user feedback, (6) Multi-task learning for job satisfaction prediction, (7) Fairness analysis and bias mitigation, and (8) Mobile application development.

VII. CONCLUSION

This paper presented SalaryLens, an intelligent salary prediction system achieving 97.02% R^2 score through stacking ensemble learning and comprehensive feature engineering. The system combines XGBoost, Random Forest, Extra Trees, and Neural Networks with Ridge meta-learner, trained on 29,850 resumes with 104 engineered features. Experimental results demonstrate superior performance compared to individual models and existing approaches. The deployed web application provides real-time predictions, interactive what-if analysis, and job search integration, making it a practical tool for career planning and salary negotiation. Future work will focus on real-world validation, geographic expansion, and explainable AI integration.

ACKNOWLEDGMENT

We thank the open-source community for providing the machine learning libraries (Scikit-learn, XGBoost, TensorFlow) that made this work possible. We also acknowledge Groq for providing API access for LLM-based resume parsing.

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